

PURPOSE OF DOUBLE RSI

The single RSI with its default settings gives a buy signal when it is below the 30 level. It gives a sell signal when it is above the 70 level. However, I have noticed that a trade taken on a single RSI indication has always failed to gain traction and the strength of the trend is lost after moving a few points. When the trade is taken with another RSI that uses an hourly timeframe for its calculation, it has given me trades with strong momentum.

BUY

30 level

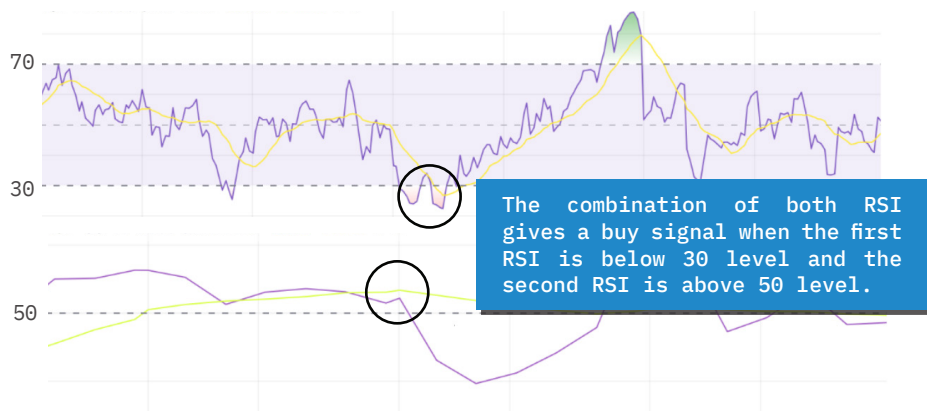
SELL

70 level

The purpose of using another RSI with 1-hour timeframe is that it filters out noise and provides signals once in 2-3 days. When the noise is filtered out, you have the assurance of not getting wiped out by the whipsaws. The RSI with hourly chart timeframe gives buy signal when it is above the 50 level and gives sell signal when it is below the 50 level.

THE STRATEGY

This is an intraday strategy that is used on a 5-minute timeframe. The use of double RSI gives multiple confluences of a 5-minute timeframe and an hourly timeframe.



The sell signal is generated when the first RSI is above the 70 level and the second RSI is below the 50 level. The take profit point is at the pivot of the first RSI. For example, both indicators have given a buy signal, the trade opens with a good profit. Now, when the first RSI goes into the overbought zone and pivots from there, exit from the trade. Similarly, when the sell signal is triggered, the exit will be at the pivot point of first RSI from the oversold zone.